

ASSIGNMENT 1

Operational risk and Crisis Management

Each team has to choose one of the topics below (within the same seminar all topics can be chosen by one team). Please prepare a ppt slide show of 15-20 pages, introducing the topic as detailed as you can. The case studies will be discussed and processed together at the seminar on 3 May, and based on the instructions received, the submission can be prepared.

Evaluation criteria include the structure, the development, and the consistency of the ppt. The depth of literature used, correct interpretation, and relevant usage of numbers and facts will be considered.

The questions are the following:

1. Describe the case! (Find more information online)
2. How can a company's crisis management be evaluated based on an external and internal approach?
3. How can the company's communication, operational and management response be evaluated?
4. How would you evaluate the crisis response strategy of the company?
5. What kind of operational risks can be identified in the case?
6. What lessons can be learned from the case?

The solution (ppt) is to be uploaded to moodle – only the team leader has to upload it.

Submission deadline 9th of May 23:59.

1. case study: SocGen

In January 2008, the Société Générale, a French bank, was rocked by an internal fraud scandal. Jerome Kerviel, a trader in the bank's Paris treasury department, engaged in unauthorized transactions far exceeding his authorized limits, resulting in accumulated losses of approximately €4.9 billion.

Kerviel had worked in the bank's back-office area for several years and was familiar with the trading-supporting IT systems. Leveraging this knowledge, he took positions in European index-related futures products well beyond his allowed limits and covered the real positions through fictitious transactions. In some cases, he even created fictitious reserves alongside the fictitious trades, which the bank only reviewed at the end of each month. Although the systems flagged 39-74 instances of "limit breaches" in the year before the fraud was discovered, no significant intervention occurred. Kerviel rarely took time off, and his trading desk was responsible for nearly 30% of the area's profits.

Starting in 2005, Kerviel began building a chain of spot buy and sell positions on fictitious client accounts, speculating on market increases. However, in January 2008, international markets experienced a sharp decline, resulting in significant losses for his positions. The Société Générale management discovered the fraud on January 19-20, 2008, and liquidated the positions. Some analysts believe that the liquidation of the losing positions contributed to further market declines.

The French financial market regulator (AMF) reported that one of Société Générale's American board members sold €85.7 million worth of the bank's shares on January 9, just two weeks before the bank publicly disclosed its nearly €5 billion loss. Société Générale's shares lost more than 22% of their value on January 9 and 10. As a result, the bank's shareholders filed a complaint against an unknown suspect for insider trading and market manipulation with the Paris prosecutor's office.

During the subsequent trial, Kerviel claimed that his superiors turned a blind eye to his activities and even encouraged him to take on additional risks when his trades were still profitable for the bank. He was ultimately sentenced to three years in prison (with two years suspended), but after serving five months, he was conditionally released.

The case of Jerome Kerviel remains a significant event in financial history, highlighting the importance of risk management, internal controls, and the consequences of rogue trading within financial institutions.

2. case study: Wells Fargo

Wells Fargo, one of the most successful banks in the world after the financial crisis, is no longer at the top of the banks' rankings. Employees of the U.S. big bank have opened nearly two million phantom accounts without the consent of their customers.

The outbreak of the scandal is due to customer complaints about amounts unduly billed for unused services. The bank cited unattainably high sales quotas as the cause of widespread internal fraud. Bank employees opened new accounts without customer consent. They were able to set up any service for customers from phantom accounts, which brought the bank extra profit and pushed the sales metrics of its employees to the expected level.

In September 2016, the U.S. Consumer Protection Agency, the Los Angeles City Attorney's Office, and the U.S. Court of Auditors uncovered fraud in which nearly 2 million phantom accounts were opened with Wells Fargo and the bank made a total profit of \$ 2.6 million (HUF 663 million).

The bank's management sent more than 5,000 workers and executives in charge during the scandal. Others were fired because they had not reached their sales quotas, others after the case broke out because of involvement in fraud. John Stumpf, CEO of Wells Fargo, took responsibility for what happened and then resigned. Timothy J Sloan, the new CEO, re-hired thousands of staff laid off earlier this year. The old / new workforce was not involved in the fraud, they were fired in early 2016 for falling short of their sales quota.

The bank indemnified its customers and paid a fine of \$ 186 million (HUF 47.5 billion) to the US government. The victims received a total of USD 110 million (HUF 28.1 million) in compensation. As a result of the scandal, the market value of the bank fell by USD 25 million (HUF 6.4 billion), or 2.6%. In the competition for financial institutions, the title of bank with the highest market value was handed over by Wells Fargo to JP Morgan Chase. The bank's revenues declined significantly, while its expenditures increased due to amounts spent on attorneys, external consultants, state penalties and client compensation. To compensate for the loss of revenue, Wells Fargo's management has decided to close 7% of its accounts (roughly 400 out of 6,000 accounts).

3. case study: JBS

JBS S.A. is a Brazilian company that is the largest meat processing company in the world. Founded in Brazil in 1953, JBS now has more than 150 plants in 15 countries, employs 150,000 people and supplies meat to everyone from supermarkets to fast food restaurants. In the US alone, JBS processes a quarter of the country's beef and a fifth of its pork. Their partners include several supermarkets and fast food chains such as McDonald's. This shows that a possible shutdown would cause serious problems for several companies.

On May 30, 2021, the company was attacked by a group of hackers, presumably Russian. This is not the first time in 2021 that ransomware viruses have made life difficult for large companies. Colonial Pipeline was also attacked, paying hackers \$4.4 million to restore its servers. The most recent attack hit the Coop chain in Sweden, with 800 stores temporarily closed.

All JBS USA facilities, including pork and poultry, were disrupted by the attack. Work had to be halted at several of the company's sites in the US and Australia. The affected slaughterhouses were in states such as Utah, Texas, Wisconsin and Nebraska.

The beef industry in Australia faced disruption as a result of the attack. The beef industry in Australia JBS "stood down" some 7000 Australian employees on June 2.

The cyber-attack has raised concerns in the news that the shutdown could shock the market, cause shortages and accelerate the rise in already high meat prices. The USDA has been encouraging other companies to increase production in the face of the predicted shortfall in meat production and price increases.

These fears were not realised, as in the case of JBS the IT system was restored within 2 days. The reason for the quick recovery was that \$11 million was paid to the attackers in a cryptocurrency, bitcoin. According to JBS U.S. CEO Andre Nogueira, this was their fee to protect their customers and clients. The measure was taken to mitigate unforeseen obstacles to the attack. Even though most of the systems were up and running on the day, the ransom was still paid to protect their data and cover the risk to their customers.

The company claimed to have lost less than a day's food production in the attack and will be able to replace it by the end of the week.

In any case, the FBI is discouraging companies hit by ransomware attacks from paying hackers, arguing that doing so supports the criminal industry and often ransomware doesn't work.

4. case study: Sony

On November 24, 2014, a group called the Guardians of Peace launched a hacker attack against Sony Pictures. During the attack, 100 terabytes of confidential and secret data was stolen from Sony's servers, including business documents, corporate emails, data from Hollywood stars and their employees, and movies waiting to be shown.

In the ten years prior to the attack, the email addresses, user, and login details of all employees working for Sony Pictures were obtained - as a result, several employees sued the company for failing to adequately protect their personal information.

Two weeks after the first attack, the Playstation Network was also attacked, the web store was unavailable for almost a full day.

The hackers published about a terabyte of data on the Internet, and the CEO's correspondence revealed, among other things, the Snapchat's secret acquisition plan. Sony tried to prevent the leak using the hackers' method - virtually unsuccessfully - by slowing down the loading of torrents containing stolen files with an overload attack (DDoS).

Sony has called on news agencies not to disclose data published by hackers and even to destroy stolen files that reach them. Defenders have sided with the media, citing freedom of the press. After the hacker attack proved ineffective, the GOP hacker group threatened Sony employees. They were required to sign an online petition condemning the company because if they did not, they would be in danger along with their family members.

The whole case may have been based on *The Interview*, a film about two journalists (Seth Rogen, James Franco) recruited by the U.S. Central Intelligence Agency (CIA) to carry out an assassination attempt on Kim Jongun, the North Korean leader. Already during filming, people were divided by the comedy: many have argued that the fact that in the film, America kills the existing head of state of another country is already pushing the boundaries of the principles of good faith and fairness.

In December, cinemas showing the film were threatened with action like the 9/11 New York assassination. The screening of the film was therefore refused by major American cinema chains, but after President Barack Obama condemned the decision, smaller cinemas began screening the film on Christmas Eve, and Sony also made comedy available on the Internet in America. Making the film cost \$ 44 million, and the advertising campaign cost tens of millions for Sony.

An investigation into the attack on Sony found that hackers were well acquainted with the system, "crawling" through the company's servers. The attackers managed to neutralize ninety

percent of the company's Internet protection. Before the attack they had access to the database for a month because a huge amount of information was retrieved from it in a relatively short time. The malware was then activated, deleting everything from the media.

The Guardian of Peace may cover individual members of the prestigious Unit 121. This is the North Korean unit in which the country's best computer specialists are gathered and managed by military intelligence. The FBI found the action could be linked to North Korea; the attack presumably enjoyed support from the communist regime. The threads lead back to North Korea, the attack ran through Taiwanese servers. The Asian country has denied the allegations.

5. case study: Volkswagen

In September 2015, the Volkswagen diesel scandal erupted. At the initiative of the International Council for Clean Transport (ICCT), a non-profit foundation, the University of West Virginia has been conducting research on emissions from various vehicles for many years. Based on the results the diesel engines of the Volkswagen Group emitted up to forty times as much emissions in real operating conditions as the limit values according to their standard. Although the official metering method, like the official metering of cars, does not adequately reflect actual use, it did not in itself trigger the huge scandal. Indeed, as it turned out, the engine control computer in the affected engines of the Volkswagen Group “knew” exactly when the emission measurement was taking place, observing a number of operating parameters (including steering motion, accelerator pedal movement and braking rhythm) ensured the fulfillment of the standards for the given engine (EURO5, EURO6) until the typical time of the measurement cycle. At the end of the measurement, the engine control returned to “normal” operation (which meant more power and better flexibility, as well as reduced noise and vibration), which in some cases meant forty times the emissions of nitrogen oxides, which are primarily responsible for many serious respiratory diseases.

Professional organizations have encountered similar exceedances in the automotive industry since the turn of the millennium, and air quality organizations have been signaling for many years that, despite stricter standards, the actual nitrogen oxide emissions of diesel engines in the 10-15 years since the turn of the millennium has declined only minimally. Volkswagen informed about the results of the research (essentially exposing their fraud) a year and a half before the scandal erupted, however, the real extent of the threat to the group of companies was probably not properly assessed or the strength of the above-mentioned organization was underestimated. Even then, minor voluntary measures were tried in the US (reprogramming of some of the cars involved as part of the next mandatory service), but these were not in line with the threat, did not have the desired effect.

After the scandal erupted, Volkswagen officially admitted that between 2009 and 2015, it sold nearly half a million vehicles in the U.S. equipped with “fraudulent” engine control that could emit up to 40 times the official emissions limit in real conditions. Under U.S. law, a violation can result in a fine of up to \$ 37,500 per car, so VW had to face a fine of up to \$ 18 billion over the direct cost of reparation. At the same time, the number of cars affected worldwide has been estimated at 11 million units (various Volkswagen, Audi, Skoda and Seat models). As a result of the scandal, the share price of the company giant, breaking from the value of 170 euros in

August 2015, looked below 100 euros at the end of September, and in one year it could only climb back to the band around 130 euros. The very first man in the company and many members of senior management had to leave as a result of the incident, and the 2015-16 profit outlook had to be drastically rewritten with provisions for prospective penalties, because of the cost of rewriting fraudulent software on each car and due to 5% decrease of sales.

After the incident, VW engaged in confessional and penitent behavior that could no longer reduce direct losses, but was important for the company's long-term profitability. In addition to the penalties, the company offered compensation to U.S. car owners (in addition to a repurchase offer for those for whom the repair is not appropriate) and it also undertook to make repairs at the group's expense for all the vehicles concerned.

The Volkswagen Group has now gone through the most painful phase of the crisis. In addition to beheading the company, many hundreds of employees were laid off and a number of key developments were halted to cover at least part of the costs. The scandal caused the company group approx. It costs \$ 15-20 billion directly, but the company has to prepare for further serious retaliation and bargains in various countries (eg Bavaria, as a shareholder in VW, is claiming compensation from the company for a € 700,000 loss on shares, but similar claims from many institutions came from different parts of the world).

The story that shakes Volkswagen has a joyful benefit for the health of all of us: the problem of diesel engines (scary values have also been measured at a number of other manufacturers) has given electric car developments a noticeable boost in the year since - not just in the Volkswagen Group.